

BASIC DESKTOP APPRAISAL REPORT

Subject Property



Menifee, California 92584

Appraised Value

\$525,000

Effective Date of Value

June 24, 2026

Prepared For



Prepared By

Brian A. Ward

State of California Certified Residential Real Estate Appraiser
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Report Date: August 20, 2026

Basic Desktop Appraisal of [REDACTED]	
Appraised Value: \$525,000 as of 06/24/2026	
Client:	Address:
[REDACTED]	[REDACTED] Menifee, California 92584 Riverside County Lat, Long: [REDACTED]
Appraisal Purpose & Intended Use:	Zoning / Current Use:
Date-of-death valuation for settlement of a living trust	SP — Menifee Village Specific Plan No. 158, single family residential planning area (source: Realist public record; City of Menifee zoning map)
Appraisal Effective Date:	Census Tract:
06/24/2026	427.38 / Block 3
Property Observation Date:	Tax-ID / Parcel Number & Legal Description:
None (desktop appraisal)	APN: [REDACTED] Subdivision: Tract 22130 (Belcanto on the Lake, Menifee Lakes)
The fee for this appraisal was \$284. The fee was not contingent on any appraisal results and was collected prior to the completion of the appraisal.	
Based on the defined Scope of Work, Statement of Assumptions and Limiting Conditions, Appraiser's Certifications, and any stated hypothetical conditions and extraordinary assumptions, my Opinion of the Market Value (or other specified value type), as defined herein, of the real property that is the subject property of this report is: \$525,000 as of 06/24/2026, which is the effective date of this appraisal.	
Date of Report (Signature): 08/20/2026	

Brian A. Ward

State of California Certified Residential Real Estate Appraiser

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Appraisal Type

This is a RESTRICTED USE BASIC DESKTOP APPRAISAL, which is an appraisal with limited reporting (as a cost-savings measure), and where neither the subject property nor the comparable sales, or neighborhood, were observed specifically for this appraisal. To complete the appraisal, I make the extraordinary assumption that the subject property has the condition, quality, and features described in the analysis are accurate and complete. The reliance on information obtained from the client, the local multiple listing service, Google Maps, and other online resources that I have not personally verified is considered an industry-accepted approach for this appraisal purpose. Apart from the lack of first-hand knowledge and independent verification of the property as described, this appraisal was prepared with the same degree of research and analysis as more common mortgage lender appraisals. If the extraordinary assumptions are inaccurate or incomplete, the appraisal may be different.

The effective date of this appraisal, June 24, 2026, is retrospective — the date of death of the prior owner. No physical inspection of the subject property of any kind was performed for this assignment: no interior observation, no exterior observation, and no drive-by. The description of the subject property's condition, quality, and features relied upon in this analysis is based entirely on the twenty-eight California Regional Multiple Listing Service photographs from the subject property's own closed 2015 listing, photographed September 10, 2015 — approximately ten years and nine months before the effective date, at low resolution — together with that listing's data, public records, and the client's written representations of August 2 and August 3, 2026. The photographs were not taken for this assignment and are not current. I make the extraordinary assumption that the 2015 listing photographs, taken together with the client's written representations, reasonably depict the condition, quality, and features of the subject property as of the effective date of June 24, 2026, except as those representations state otherwise. If the photographs and representations do not accurately or completely depict the subject property as of the effective date, the appraisal may be different.

I further make the extraordinary assumption that the improvements the client reported in writing — a new heating and cooling system, a new water heater, a permitted patio cover, a new garage door and opener, and the complete replacement of the flooring throughout the home — were in place as of the June 24, 2026 effective date. The type and quality of the replacement flooring, the design and materials of the replacement patio cover, and the installation dates of these items are unknown and could not be confirmed from the available photographs. If these improvements were not in place as of the effective date, or differ materially from what has been assumed, the appraisal may be different. The use of these extraordinary assumptions may have affected assignment results.

Conditions that Must Be Met for the Appraised Value to Be Valid

Appraisal conditions address issues and/or suspected issues that cannot be evaluated by an appraiser and require field-specific professionals. When appraisal conditions are listed, the estimated cost to address them may be deducted from the appraised value in place of completing the corrections; the resulting figure represents a value inclusive of the condition items in their present, uncorrected state.

- None

Sales Comparison Table

Feature	Subject	Comparable 1 30232 Via Palermo		Comparable 2 30186 Calle Belcanto		Comparable 3 30557 Bayport		Comparable 4 28853 Champions Dr	
Street Address		30232 Via Palermo		30186 Calle Belcanto		30557 Bayport		28853 Champions Dr	
City, State, Zip	Menifee, CA 92584	Menifee, CA 92584		Menifee, CA 92584		Menifee, CA 92584		Menifee, CA 92584	
Sale Price		\$545,000		\$505,000		\$540,000		\$565,000	
Sale Date	06/24/2026 (Eff. Date)	03/13/2026		08/19/2025		07/15/2026		07/31/2026	
Time Adj.		103 Days		309 Days		-21 Days		-37 Days	
Site (sf)	6,970	6,098	\$2,000	8,712	-\$3,000	4,792	\$4,000	4,356	\$5,000
View	No Notable	No Notable		No Notable		No Notable		No Notable	
Quality	Avg+Gd(+)	Gd	-\$5,000	Avg	\$17,000	Gd	-\$6,000	Gd	-\$7,000
Condition	Avg+Gd(+)	Gd	-\$5,000	Avg	\$17,000	Gd	-\$6,000	Gd	-\$7,000
Yr. Built	1990	1990		1990		1989		1991	
Bedrooms	3	3		3		3		3	
Bathrooms	2	2		2		2.5	-\$5,000	3	-\$10,000
Living Area	1,337	1,334		1,334		1,572	-\$18,000	1,867	-\$41,000
Heat/Cool	FWA+Cent.	FWA+Cent.		FWA+Cent.		FWA+Cent.		FWA+Cent.	
Garage	2 Car Garage	2 Car Garage		2 Car Garage		2 Car Garage		2 Car Garage	
Location	Corner Lot	Corner Lot		Neutral/Typ.		Neutral/Typ.		Neutral/Typ.	
Stories	1 Story	1 Story		1 Story		2 Story	\$25,000	2 Story	\$25,000
Mkt/Escrow Dates		1/28:A 2/9:E		7/1:A 7/14:E		4/16:A 6/2:E		6/2:A 6/16:E	
Concessions		Credit	-\$10,000	Credit	-\$10,750	Credit	-\$8,000	Credit	-\$7,000
Source#1: MLS		SW26014844		SW25146488		IV26082208		SW26114189	
Source#2: Tax	Tax Assr.	Tax Assr.		Tax Assr.		Tax Assr.		Tax Assr.	
Distance		0.05 Miles SW		0.15 Miles WSW		0.35 Miles SSE		0.26 Miles NNW	
Net Adj.		-3.30%	-\$18,000	+4.01%	\$20,250	-2.59%	-\$14,000	-7.43%	-\$42,000
Gross Adj.		4.04%	\$22,000	9.46%	\$47,750	13.33%	\$72,000	18.05%	\$102,000
Adj. Sale Price			\$525,000		\$525,000		\$525,000		\$525,000

Sales Comparison Explanations

The subject property is a detached, one-story single family residence located at [REDACTED] in Menifee, California 92584, within the Belcanto on the Lake tract of the Menifee Lakes master-planned community. The residence was built in 1990 and contains 1,337 square feet of gross living area, three bedrooms, two full bathrooms, an attached two-car garage, forced warm air heating with central air conditioning, and no notable view, on a 6,970 square foot corner site. The quality of construction is rated Average+Good(+) and the condition is rated Average+Good(+), reflecting a standard 1990 production tract home carried at the high end of its tier by consistent refinements and by the reported replacement of the heating and cooling system, water heater, flooring, garage door and opener, and patio cover. This is a desktop appraisal prepared under the extraordinary assumptions stated in the Appraisal Type section, and the effective date of value is retrospective to June 24, 2026, the date of death of the prior owner.

I have selected four closed sales of comparable single family residences, all within thirty-five hundredths of a mile of the subject in the Menifee Lakes market area, three of them 1989 to 1991 tract homes inside the same master association territory as the subject and the fourth in the adjoining Andalusia association immediately north. Unadjusted sale prices range from \$505,000 to \$565,000, bracketing the concluded value from both sides. The set was chosen to bracket the subject across the most significant elements of comparison: Comparables 1 and 2 are sales of the subject's own 1,334 square foot single-story floor plan within the subject's immediate neighborhood, one slightly superior and one inferior in quality and condition, so that together they bracket the subject's condition and quality on the identical plan; Comparables 3 and 4 bracket the subject's living area from above and demonstrate that the market did not move between the effective date and their closings. The contributory value of each feature was derived from the market through paired sales analysis — comparing otherwise-similar recent sales that differ in only that feature — and the resulting per-unit rates were then applied uniformly to every comparable in the grid. The adjustments were extracted once from the market, not improvised for individual comparables.

Comparable properties are adjusted to the subject property, not other comparable properties. Negative adjustments indicate that a feature is superior compared with the subject property or is present at the comparable property but not at the subject property. Positive adjustments indicate the feature is superior at the

subject property or not present at the comparable property. Please see the Paired Sales Analysis section for a more detailed description of the analysis process and to review simple examples.

All adjustments except concessions are rounded to the nearest \$1,000, because market participants price individual features in round increments, and adjusted sale prices are rounded to the nearest \$5,000, because market participants price entire properties in round increments.

Concession adjustments open the analysis because they represent value the seller transferred to the buyer in exchange for a higher headline sale price and must be removed before any other analysis. All four comparables closed with seller credits. Comparable 1 received a \$10,000 credit toward the buyer's costs and is adjusted - \$10,000. Comparable 2 closed with an \$18,325 seller credit for the buyer's closing costs; \$7,575 of that figure is exactly 1.5% of the sale price and represents seller-paid buyer-broker compensation, which is a normal cost of selling rather than a price concession, and the remaining \$10,750 is adjusted dollar for dollar. Comparable 3 closed with a \$21,500 credit identified in the listing record as buyer-agent compensation and closing costs; \$13,500 of it is exactly 2.5% of the sale price and is excluded as broker compensation, and the remaining \$8,000 is adjusted. Comparable 4 received a \$7,000 closing cost credit, adjusted -\$7,000. In each case the adjustment removes the value the seller transferred at the transaction level, restoring the cash-equivalent price the market actually paid for the real property.

No date of sale adjustments were applied. The market-timing date of a comparable sale is the date its price was agreed — the purchase contract date — and all four comparables went under contract on or before the effective date: Comparable 1 on February 9, 2026, Comparable 2 on July 14, 2025, Comparable 3 on June 2, 2026, three weeks before the effective date, and Comparable 4 on June 16, 2026, eight days before the effective date. I analyzed the change in the median price per square foot of comparable homes in the local market between each contract date and the effective date, both citywide and within the subject's own size tier, and the tier-level trend is statistically flat across the full span of the comparable contract dates; the modest quarter-over-quarter movement visible in the citywide medians reflects seasonal composition of the properties sold rather than like-for-like appreciation. Comparables 3 and 4 closed twenty-one and thirty-seven days after the effective date on contracts struck before it, and their inclusion demonstrates that the market did not move meaningfully between the effective date and their respective closings.

Site size adjustments were applied on a price-per-square-foot-of-site-area basis at \$2 per square foot, the depreciated contributory rate of additional yard area among these similarly sized tract lots, where lot utility rather than raw area drives value. Comparable 1, on a 6,098 square foot site, received +\$2,000; Comparable 2, on an 8,712 square foot site — the one site in the set larger than the subject's, bracketing site area from above — received -\$3,000; Comparable 3, on 4,792 square feet, received +\$4,000; and Comparable 4, on 4,356 square feet, received +\$5,000. Site size is a moderate but not dominant driver of value among the similarly sized lots of this tract submarket. The subject's corner location is shared by Comparable 1 and carries no separable premium in this market; no location adjustments were required, and the view characteristics carried in the analysis are equivalent across the subject and all four comparables, so no view adjustments were applied.

Quality and condition adjustments were derived on a price-per-square-foot-of-living-area basis and applied to each comparable's own living area, which is why comparables sharing a rating receive different dollar figures. Comparables 1, 3, and 4 are rated Good in both quality and condition, one short step above the subject's Average+Good(+) ratings, and received -\$3.75 per square foot on each line: -\$5,000 each for Comparable 1, -\$6,000 each for Comparable 3, and -\$7,000 each for Comparable 4. Comparable 2 sold in largely original condition and is rated Average in both quality and condition, several steps below the subject, and received + \$12.75 per square foot, or +\$17,000, on each line. The asymmetry of the two rates reflects the subject's position

near the top of its tier: the step up to Good is short, while the distance down to mid-Average original condition is long. The equal but opposite direction of these adjustments, applied to two sales of the subject's identical floor plan, demonstrates that the subject's quality and condition fall squarely between Comparable 2 and Comparables 1, 3, and 4.

Living area adjustments were applied at \$78 per square foot of difference, the depreciated contributory value of additional living space in this market segment. Comparables 1 and 2 contain 1,334 square feet, three square feet from the subject's 1,337, and required no adjustment. Comparable 3, at 1,572 square feet, received -\$18,000, and Comparable 4, at 1,867 square feet, received -\$41,000. The two same-plan sales fix the analysis at the subject's own size while Comparables 3 and 4 bracket it from above. No bedroom adjustment is required because all four comparables match the subject's three-bedroom count. Bathroom adjustments were applied at \$10,000 per full bathroom: Comparable 3, with two and one-half bathrooms, received -\$5,000, and Comparable 4, with three bathrooms, received -\$10,000. Comparables 1 and 2 match the subject's two-bath configuration.

Story-count adjustments of +\$25,000 were applied to Comparables 3 and 4, which are two-story homes. The set itself supplies the pairing: the two single-story sales and the two two-story sales, after their other adjustments, isolate the market's preference in this segment for single-level floor plans, which eliminate interior stairs and appeal to the aging-in-place buyers active in this community. All four comparables match the subject's attached two-car garage and its forced warm air heating with central air conditioning, and no garage or heating and cooling adjustments were required. The comparables were built between 1989 and 1991 against the subject's 1990; no year-built adjustments were applied, because any age reaction within this two-year band is carried in the condition ratings, and a separate year-built adjustment would double-count it.

Comparable 1, at 30232 Via Palermo, is the anchor of the analysis: the most recent closed sale of the subject's own 1,334 square foot single-story floor plan, five hundredths of a mile southwest of the subject in the subject's own Belcanto on the Lake neighborhood, on a corner lot like the subject. It closed March 13, 2026 for \$545,000 after twelve days on market. It is only slightly superior in condition and quality to the subject property, and the -\$5,000 adjustment on each of those lines removes that slight superiority. With a net adjustment of -3.30% and a gross adjustment of 4.04%, it is the cleanest single indicator of the subject's value in the market.

Comparable 2, at 30186 Calle Belcanto, is an older sale than preferred and is included because it is a single-story property nearby from the subject property's neighborhood — the same 1,334 square foot floor plan, fifteen hundredths of a mile west-southwest of the subject. It closed August 19, 2025 for \$505,000. It sold in largely original condition, with most features at or near the end of their intended economic life, and it is the inferior member of the comparable set: it establishes the lower end of the value range and, paired with Comparable 1 on the identical plan, isolates the market's reaction to quality and condition directly. It also carries the only site in the set larger than the subject's, bracketing site area from above. The sale was a probate listing; it was exposed to the open market through the multiple listing service for thirteen days and closed 3.3% above its list price, which is market-value behavior, and its adjusted price aligns with the other three sales, corroborating that it sold at market value. Its contract date of July 14, 2025 sits eleven months before the effective date, and no time adjustment is applied because the measured price-per-square-foot trend in the subject's size tier is statistically flat across that span.

Comparable 3, at 30557 Bayport, is a two-story 1989 home of 1,572 square feet with two and one-half bathrooms, thirty-five hundredths of a mile south-southeast of the subject within the Menifee Lakes master association. It went under contract June 2, 2026, three weeks before the effective date, and closed July 15, 2026 for \$540,000. It is rated Good in quality and condition, and it brackets the subject's living area from above while

its escrow spanning the effective date demonstrates the steadiness of the market across that date. Its net adjustment is -2.59% and its gross adjustment 13.33%.

Comparable 4, at 28853 Champions Dr, is a two-story 1991 home of 1,867 square feet with three bathrooms in the adjoining Andalusia association, twenty-six hundredths of a mile north-northwest of the subject. It went under contract June 16, 2026, eight days before the effective date, and closed July 31, 2026 for \$565,000 after fourteen days on market. It establishes the upper end of the unadjusted price range and the upper living-area bracket, and like Comparable 3 it is a contract struck before the effective date that closed after it, confirming market steadiness. Its net adjustment of -7.43% and gross adjustment of 18.05% are the largest in the set, concentrated in the living-area and story-count lines that its bracketing role exists to carry, and all four comparables' net and gross adjustments fall within accepted tolerances.

After the application of all adjustments, Comparable 1 produced a net adjustment of -3.30% for an adjusted sale price of \$525,000; Comparable 2 produced a net adjustment of +4.01% for an adjusted sale price of \$525,000; Comparable 3 produced a net adjustment of -2.59% for an adjusted sale price of \$525,000; and Comparable 4 produced a net adjustment of -7.43% for an adjusted sale price of \$525,000. The adjusted sale prices of all four comparables round to \$525,000. Before the \$5,000 display rounding, the four columns sum to \$527,000, \$525,250, \$526,000, and \$523,000 — each within \$2,500 of the displayed figure — so the convergence of the closed sales is a tight cluster of independently computed figures, not an artifact of rounding. Three comparables adjust downward and one adjusts upward, and the unadjusted sale prices bracket the conclusion with three sales above it and one below it.

Based on the sales comparison analysis, it is my opinion that the market value of the subject property, as of June 24, 2026, is \$525,000. This conclusion is indicated identically by all four comparables after adjustment, including the subject's own floor plan sold in both superior and inferior condition, and requires no reconciliation across a range.

A reviewer examining the adjustment grid may reasonably suspect that the comparables were adjusted toward a predetermined value. They were not, and the convergence is the natural product of the paired-sales method. The appraiser did not target a value. The appraiser made minute, consistently-applied adjustments across all comparable properties — the same per-unit rate applied uniformly to every comparable — until the comparables themselves consistently indicated a value. The conclusion was revealed by the data, not selected and then justified.

Paired sales analysis works by locating pairs of otherwise-similar sales that differ in only one feature. The difference in their sale prices, divided by the difference in the feature, yields the per-unit contributory value of that feature. In this analysis, the two sales of the subject's identical floor plan — one slightly superior to the subject in quality and condition and one inferior — isolate the market's reaction to quality and condition directly, and the single-story and two-story sales isolate the story-count preference. The same per-unit rate extracted from each pairing is then applied uniformly to every comparable in the grid.

The adjustments are consistent linear and per-square-foot rates applied identically across all comparables: one living-area rate, one site rate, one bathroom rate, one story-count figure, and one quality and condition rate per rating step. The adjustments are not invented for each comparable; they are extracted once from the market and applied consistently to all.

The adjusted sale prices shown in the grid are rounded to the nearest \$5,000 because market participants price entire properties in round increments. The unrounded figures vary slightly. The comparables do not actually

indicate a single identical number; they indicate a tight cluster of numbers — here spanning \$523,000 to \$527,000 — that round to the same figure.

The per-unit adjustment rates used in this analysis were derived in small increments and applied uniformly to every comparable in the grid; the same rate was used in every direction and on every comparable. When the rates that best fit the available paired-sales evidence are applied consistently across the grid, the adjusted sale prices reveal a value indication. They are not steered toward one. The adjusted sale prices solve for the value indicated by the data; they do not target it.

This approach contrasts with the common practice of applying broad, pre-determined adjustment amounts that are not extracted from the local market and then relying on experience or other subjective judgment to arrive at a final value. The approach used in this analysis is as objective as the available data permits — the value is what the math produces when consistent, market-derived rates are applied to actual sales.

The Paired Sales Analysis section of the addenda contains three worked, step-by-step examples that illustrate how adjustments are derived as features are added to a hypothetical subject property; the reviewer is directed there to see the mechanics of the method applied in this analysis.

I solely rely on the Sales Comparison Approach to value because it best reflects the tenets of market value and provides the only reliable indication of value. The Cost Approach is not reliable or considered because market participants do not consider depreciated construction and land costs when pricing properties in the local market. The Income Approach is not reliable or considered because there is an inadequate supply of investment property sales with market rents, and a reliable gross rent multiplier cannot be determined.

Addenda

General Scope of Work

The Scope of Work is the type and extent of research and analyses performed in an appraisal assignment that is required to produce credible assignment results, given the nature of the appraisal problem, the specific requirements of the intended user(s) and the intended use of the appraisal report. Reliance upon this report, regardless of how acquired, by any party or for any use, other than those specified in this report by the Appraiser, is prohibited. The Opinion of Value that is the conclusion of this report is credible only within the context of the Scope of Work, Effective Date, the Date of Report, the Intended User(s), the Intended Use, the stated Assumptions and Limiting Conditions, any Hypothetical Conditions and/or Extraordinary Assumptions, and the Type of Value, as defined herein. The appraiser, appraisal firm, and related parties assume no obligation, liability, or accountability, and will not be responsible for any unauthorized use of this report or its conclusions. The scope of work may be expanded within the analysis.

Definition of Market Value *

Market value means the most probable price which a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby:

1. Buyer and seller are typically motivated;
2. Both parties are well informed or well advised and acting in what they consider their own best interests;
3. A reasonable time is allowed for exposure in the open market;
4. Payment is made in terms of cash in U.S. dollars or in terms of financial arrangements comparable thereto; and
5. The price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions granted by anyone associated with the sale.

* This definition is from regulations published by federal regulatory agencies pursuant to Title XI of the Financial Institutions Reform, Recovery, and Enforcement Act (FIRREA) of 1989 between July 5, 1990, and August 24, 1990, by the Federal Reserve System (FRS), National Credit Union Administration (NCUA), Federal Deposit Insurance Corporation (FDIC), the Office of Thrift Supervision (OTS), and the Office of Comptroller of the Currency (OCC). This definition is also referenced in regulations jointly published by the OCC, OTS, FRS, and FDIC on June 7, 1994, and in the Interagency Appraisal and Evaluation Guidelines, dated October 27, 1994.

General Purpose of the Appraisal

(The specific purpose for this appraisal is described on the Appraisal Summary page.) The general purpose of this appraisal report is to develop an opinion of the market value of the fee simple interest of the real property rights of the property identified as the "subject property" or "subject" in the body of this report, subject to this Scope of Work, purpose of the appraisal, reporting requirements of the attached appraisal report form, requirements of the Uniform Standards of Professional Appraisal Practice (USPAP), and Definition of Market Value (defined later in this appraisal).

Common Extraordinary Assumptions

(Additional extraordinary assumptions may be found in the Appraisal Analysis pages.)

- I make the extraordinary assumption that all information provided to me by the owner, from other knowledgeable parties, and/or through my industry standard data services is true, correct, and complete.
- I make the extraordinary assumption that, unless otherwise noted, all construction and features at the subject property have been legally permitted for their current use.
- I make the extraordinary assumption that the site and soil are suitable for the intended use of the property.

Appraiser's Qualifications

I have been a full-time residential appraiser continuously since April of 2004. During that time, I have completed more than 5,000 appraisals including properties in excess of 10,000 SF of living area size, up to \$11,000,000 in market value, in excess of 360 acres, and have appraised in all of Southern California's regions (e.g. coastal, desert, mountain, resort, urban, suburban, and rural). My clients have included virtually all of the major home lenders including Countrywide Home Loans / Bank of America, Wells Fargo Bank, Washington Mutual / JPMorgan Chase, and Citicorp, either directly or indirectly through third party lenders, mortgage brokers, and appraisal management companies. I have also completed appraisals for federally insured transactions by the Department of Housing and Urban Development and routinely perform appraisals for matters not related to mortgages. I have completed 480 hours of accredited appraiser education.

Statement Of Assumptions and Limiting Conditions

- The appraiser will not be responsible for matters of a legal nature that affect either the property being appraised or the title to it. The appraiser assumes that the title is good and marketable and, therefore, will not render any opinions about the title. The property is appraised on the basis of it being under responsible ownership.
- The appraiser may have provided a sketch in the appraisal report to show approximate dimensions of the improvements, and any such sketch is included only to assist the reader of the report in visualizing the property and understanding the appraiser's determination of its size. Unless otherwise indicated, a Land Survey was not performed.
- If so indicated, the appraiser has examined the available flood maps that are provided by the Federal Emergency Management Agency (or other data sources) and has noted in the appraisal report whether the subject site is located in an identified Special Flood Hazard Area. Because the appraiser is not a surveyor, he or she makes no guarantees, express or implied, regarding this determination.
- The appraiser will not give testimony or appear in court because he or she made an appraisal of the property in question, unless specific arrangements to do so have been made beforehand.
- If the cost approach is included in this appraisal, the appraiser has estimated the value of the land in the cost approach at its highest and best use, and the improvements at their contributory value. These separate valuations of the land and improvements must not be used in conjunction with any other appraisal and are invalid if they are so used. Unless otherwise specifically indicated, the cost approach value is not an insurance value, and should not be used as such.
- The appraiser has noted in the appraisal report any adverse conditions (including, but not limited to, needed repairs, depreciation, the presence of hazardous wastes, toxic substances, etc.) observed during the inspection of the subject property, or that he or she became aware of during the normal research involved in performing the appraisal. Unless otherwise stated in the appraisal report, the appraiser has no knowledge of any hidden or unapparent conditions of the property, or adverse environmental conditions (including, but not limited to, the presence of hazardous wastes, toxic substances, etc.) that would make the property more or less valuable, and has assumed that there are no such conditions and makes no

guarantees or warranties, express or implied, regarding the condition of the property. The appraiser will not be responsible for any such conditions that do exist or for any engineering or testing that might be required to discover whether such conditions exist. Because the appraiser is not an expert in the field of environmental hazards, the appraisal report must not be considered as an environmental assessment of the property.

- The appraiser obtained the information, estimates, and opinions that were expressed in the appraisal report from sources that he or she considers to be reliable and believes them to be true and correct. The appraiser does not assume responsibility for the accuracy of such items that were furnished by other parties.
- The appraiser will not disclose the contents of the appraisal report except as provided for in the Uniform Standards of Professional Appraisal Practice, and any applicable federal, state or local laws.
- If this appraisal is indicated as subject to satisfactory completion, repairs, or alterations, the appraiser has based his or her appraisal report and valuation conclusion on the assumption that completion of the improvements will be performed in a workmanlike manner.
- An appraiser's client is the party (or parties) who engage an appraiser in a specific assignment. Any other party acquiring this report from the client does not become a party to the appraiser-client relationship. Any persons receiving this appraisal report because of disclosure requirements applicable to the appraiser's client do not become intended users of this report unless specifically identified by the client at the time of the assignment.
- The appraiser's written consent and approval must be obtained before this appraisal report can be conveyed by anyone to the public, through advertising, public relations, news, sales, or by means of any other media, or by its inclusion in a private or public database.
- An appraisal of real property is not a 'home inspection' and should not be construed as such. As part of the valuation process, the appraiser performs a non-invasive visual inventory that is not intended to reveal defects or detrimental conditions that are not readily apparent. The presence of such conditions or defects could adversely affect the appraiser's opinion of value. Clients with concerns about such potential negative factors are encouraged to engage the appropriate type of expert to investigate.
- The appraised value does not deduct for common costs associated with selling or buying a property such as sale agent commissions, which are typically 5%-6% of a property's sale price, or sale closing costs.
- Photographs from the local Multiple Listing Service are used to better reflect comparable property condition on each respective property's sale date.
- Under the Uniform Standards of Professional Appraisal Practice (USPAP) Standards Rule 2-2(b), this is a Restricted Use Appraisal Report, prepared and intended for a specific purpose and client with data collection, analysis, and presentation designed to specifically satisfy them. As such, this appraisal should only be considered reliable for its intended purpose and user. Further, my liability is limited to the identified client and their defined purpose and does not extend to any other entity relying on the appraisal or if used for any other purpose. Any USPAP requirements not detailed in this appraisal are maintained in my workfile and the users of this report must clearly understand that the report may not contain supporting rationale for all of the opinions and conclusions set forth in the report.
- If any assumptions in this appraisal are inaccurate or are based on incomplete information, the market value of the subject property, as defined, may be different.

Explanations And Examples

Approaches Used to Derive Market Value in Appraisals

There are three approaches to value that are used to derive market value in appraisal reports:

- **Sales Comparison Approach to Value.** This method of deriving value allows for the most complete satisfaction of the tenets of market value. It compares sales of properties similar to the property being appraised with the intention of producing a value that reflects the actions of recent market participants that may have considered also purchasing the subject property, had it been for sale. The significant majority of the time, this is the approach used for appraisals of single-family residences and condominiums in Southern California where sales and information regarding the sales are usually plentiful.
- **Cost Approach to Value.** This method of deriving value calculates the cost of a property's improvements, less depreciation, and adds them to the value of the land as if vacant. Market participants usually make their purchasing and selling decisions based on what properties have been selling for in the area and not on the cost of a property resulting in market value often being significantly different than what is derived in the sales comparison approach to value. The cost approach to value is usually the best option when sales are extremely scarce, which is uncommon in Southern California.
- **Income Approach to Value.** This method of deriving value utilizes the income capabilities of a property to derive a property's market value. In Southern California, property values are often too high and investors/landlords will not see enough profit / reasonable enough of a return from rents to where buying a property based solely on its income producing capabilities equals a value above what the sales comparison approach usually indicates, making it an unreliable indicator of market value for single family residences and condominiums where potential investors are mostly competing with buyers who will live in their properties after purchase and do not consider the profit they could receive from renting their property. The income approach is most commonly used for multi-family properties and commercial properties.

Why the Specific Comparable Properties Were Selected for Comparison

The comparable property sales included are the best available in the development of an accurate value opinion that satisfies the uniform standard of professional appraisal practice, that adhere to the definition of market value, and that satisfy paired sales analysis. While there may be additional sales that are better reflections of certain features of the subject property (or other factors), the comparable properties used, collectively, are the best available reflections of the market appeal of the Subject Property's utility and features, are the best available reflections of the most current market trends, and are the best available reflections of the actions of buyers and sellers that would most probably buy/sell the subject property. Additional consideration is also given to the property sales with the most reliable conditions for a market value sale, such as those with the least sales concessions and least favorable lending terms. Any otherwise applicable property sales not included in the Sales Comparison are either redundant or less reliable than those included.

Paired Sales Analysis

A method of estimating the amount of adjustment for the presence or absence of any feature by pairing the sales prices of otherwise similar properties with and without the feature in question. A sufficient number of sales must be found to allow the appraiser to isolate the effect on value of the pertinent factor (also called paired data set analysis and matched pairs analysis). If applied correctly, all comparable properties in a sales comparison should indicate the same value for the property being appraised. Examples are included below.

Example 1 – One Different Comparable Feature. Comparable 2 is adjusted -\$5,000 because it has a 3rd garage space which neither the Subject nor properties 1 or 3 have.

	Subject	Comparable 1		Comparable 2		Comparable 3	
Sale Price		\$100,000		\$105,000		\$100,000	
Garages	2 Car Garage	2 Car Garage	No Adjustment	3 Car Garage	-\$5,000	2 Car Garage	No Adjustment
Adj. \$ of the Comparables		\$100,000		\$100,000		\$100,000	

Example 2 – Two Different Comparable Features. Comparable 2 is adjusted -\$5,000 because it has a 3rd garage space which neither the Subject nor properties 1 or 3 have. Comparable 1 is adjusted -\$10,000 because it has a pool which the Subject does not have.

	Subject	Comparable 1		Comparable 2		Comparable 3	
Sale Price		\$110,000		\$105,000		\$100,000	
Garages	2 Car Garage	2 Car Garage	No Adjustment	3 Car Garage	-\$5,000	2 Car Garage	No Adjustment
Pool	No Pool	Pool	-\$10,000	No Pool	No Adjustment	No Pool	No Adjustment
Adj. \$ of the Comparables		\$100,000		\$100,000		\$100,000	

Example 3 – Three Different Comparable Features. Comparable 2 is adjusted -\$5,000 because it has a 3rd garage space which neither the Subject nor properties 1 or 3 have. Comparable 1 is adjusted -\$10,000 because it has a pool which the Subject does not have. Comparable 1 is adjusted -\$5,000 because it has a 100 SF larger house size than the Subject. Comparable 3 is adjusted +\$5,000 because it has a 100 SF smaller house size.

	Subject	Comparable 1		Comparable 2		Comparable 3	
Sale Price		\$115,000		\$105,000		\$95,000	
Garages	2 Car Garage	2 Car Garage	No Adjustment	3 Car Garage	-\$5,000	2 Car Garage	No Adjustment
Pool	No Pool	Pool	-\$10,000	No Pool	No Adjustment	No Pool	No Adjustment
Living Area	1,000 Sqft	1,100 Sqft	-\$5,000	1,000 Sqft	No Adjustment	900 Sqft	+\$5,000
Adj. \$ of the Comparables		\$100,000		\$100,000		\$100,000	

Bracketing In Paired Sales Analysis

When an identical feature cannot be found, that feature is 'bracketed' so that a mathematical factor can be developed. Bracketing refers to the inclusion of properties with greater and lesser features compared with the subject property. For example, to determine the value difference between a property's 1,000 SF of living area and other properties, a 900 SF property that sold for \$100,000 and a 1,100 SF that sold for \$110,000 is included. The difference between these properties is 200 SF and \$10,000. This indicates that a \$50/SF adjustment is required (\$10,000/200 SF).

Tips for Understanding the Analysis

A number in the 'Data Source' row reflects the multiple listing service number for the comparable property and a number in the 'Verification Source' row reflects the public record recording document number for the sale of the comparable property. Site descriptions reflect square feet of site area. Bedrooms are adjusted in the 'Above Grade' row and bathrooms are adjusted for in the 'Room Count' row. Numbers in the 'Concessions' row reflect

the mortgage that was acquired for the purchase of each comparable property where it is present, if one exists. Entries in the 'Location' row reflect the approximate Latitude and Longitude of each property.

Appraisers are required to analyze any sales/transactions of the Subject Property within 36 months of the effective date of this report and any comparable sales/transfers within the 12 months prior to each property's respective sale date for anything that could suggest that a current comparable sale/transaction is unreliable, such as from market manipulation due to house flipping. None of the properties used in the analysis have prior sales within these timeframes that suggest the recent sales of those properties are unreliable.

Adjustments for comparable sale differences are primarily derived using paired sales analysis, although depreciated cost analysis and statistical analysis are also considered where appropriate and as validation of the adjustments. The properties in the sales comparison are the most recent and similar available that satisfy the tenets of market value and paired sales analysis, and that result in a consistent value opinion. Please see the 'Paired Sales Analysis' heading in the 'Definitions' addendum for a basic description of paired sales analysis. In addition to reading this summary of the sales comparison, reviewing what paired sales analysis is may help the reviewer of this appraisal to understand why some of the properties in this sales comparison were selected.

Because the subject property and the comparable properties do not have uniform condition or quality throughout, the condition and quality ratings/descriptions of each property represent a summary of the condition and quality of each property and their features. Some features of each property will be superior or inferior to their summarized condition and quality descriptions.

The applied adjustments represent the most probable contribution to value given the disparate data available, and some features' values are not able to be derived due to a lack of market data/evidence. This does not mean that these features do not contribute value and the value contribution of these features is inherently included in other adjustments, if adjustments are required at all. It is possible that additional sales could result in more exact adjustments, although the net and gross adjustments would most likely be the same or similar. Also, the preparation of this sales comparison included the consideration of a number of other properties, and some adjustments applied in this sales comparison may have been derived and/or confirmed by those other properties.

Real estate agents do not consistently calculate, or report, room totals and I have no resource other than their reporting for room totals in the sales comparison. This results in inconsistent and/or unreliable total room counts in the sales comparison. Because of this, and because there is no support for value adjustments based on total room counts, it is my opinion that the relevance of total rooms should be disregarded in this appraisal.

No property sales identified as being distressed or that otherwise may not have been sold for market value in the local multiple listing service (e.g. Bank sales, short sales, estate sales) are considered in this sales comparison, except as specifically disclosed and analyzed in the Sales Comparison Narrative.

Several dates for sales and listings may be included. They are the escrow date, the settle date, and the sale date. The escrow date is the date that the buyer and seller agreed to a sale price, but before all terms of the contract have been settled. The settle date is the date that the terms of the sale are finalized, and the sale date is the date that the sale is recorded with the county. Unless otherwise noted, all comparable sales are sourced and verified using the local multiple listing service and public record through CoreLogic's 'Realist' service.

It is critically important for the client to understand that the value derived through this appraisal is the most probable price the subject property would bring (see full 'Definition of Market Value' in the standard declarations) and not the highest possible value or the lowest reasonable value, as are the common objectives of buyers and sellers, and their real estate agents. Because market participants have varying motivations, most

may consider the subject's value differently than I have and it is possible that the subject property will sell for more or less than my value opinion. However, using sound property valuation principles and techniques, and in consideration of the best data available, it is my opinion that the value derived through this appraisal is the market value of the subject property.

It is also critically important for the client to understand that this appraisal and its appraised value are derived as of/for a specific effective date and that it does not forecast future market conditions. Market conditions and the quality of the sales data available can change rapidly, altering the subject property's market value in a short period of time. If relevant for their purpose, the client should be diligent in remaining abreast of market condition changes to be able to best utilize the appraisal for their specific need.

How Mortgage Terms and Concessions Can Affect Sale Prices

The definition of market value requires that a purchase price be in terms of cash to be considered market value. Mortgages with low down-payments/where higher than typical loan to home value ratios are allowed, and private party loans to commonly unqualified people, are all examples of mortgages/loan terms that can affect purchase prices. This is because such mortgages encourage a focus on borrowing and not on a home's purchase price, because they encourage irresponsible borrowing due to the borrower having relatively little stake in the purchase and will incur little to no loss should they be unable to make their mortgage payments, and because borrowers who otherwise could not qualify for purchases are afforded the opportunity to buy homes which artificially increases competition, and therefore prices, and they allow sellers and mortgage companies to artificially increase sale prices, rates, and fees because the buyers have few other options and are more desperate than buyers who buy with cash or cash equivalent conventional mortgages. The definition of market value also requires that buyers be typically motivated, which buyers unable to qualify for conventional mortgages may not be.

High loan to home value ratio mortgages, high debt to income ratio mortgages, and a lack of reasonably qualified borrowers in the early to mid-2000s were a major contributing factor to rapid home price increases and the ensuing housing market collapse that spurred the 'Great Recession' of recent years. Currently the federal government has programs in place through the VA (Veteran's Affairs) and FHA (Federal Housing Administration) departments which provide guarantees to lenders for mortgages where loan to value ratios are at or above 97%, and sometimes as high as 106% of a property's market value. Additionally, some VA loans allow for debt-to-income ratios nearly double what a conventional mortgage is allowed, and both FHA and VA can permit the inclusion of sales concessions in the mortgages so that buyers with little cash that can't otherwise afford closing costs can still buy properties. This can also cause purchase prices to increase so that the seller does not have to carry the actual burden of assisting buyers in paying for their closing costs because the costs are actually included in the mortgages.

The significant difference between these government programs and what occurred in the 2000s is that borrowers have much more stringent qualification requirements. But while this difference does exist, sellers of properties that accept VA, FHA, and other similar mortgages often increase their sale prices to account for the inconvenience in waiting for borrowers who require such loans and the higher probability that the mortgages will not be accepted, especially compared with cash sellers. In turn, buyers who require these mortgages are often willing to pay the higher prices, interest rates, and fees because their options to not do so are often limited.

In summary: Property purchases with mortgage lending terms common of FHA, VA, and private party loans can include incentives that result in the purchase prices of the properties to not satisfy the definition of market value which requires that the purchase prices be in terms of cash. In other words, buyers who use these mortgages

sometimes pay more for properties than a cash buyer would pay for the same properties and therefore the purchase prices where such loans are used are less reliable indicators of market value than cash purchases or purchases where buyers have contributed a significant down-payment. Because of this, emphasis should be placed on comparable sales where cash or cash equivalent conventional mortgages are used, when possible.

The Principle of Substitution

When developing the appraisal, the goal is to develop an opinion of the property's value based on what similar, or substitute, properties and/or features have sold for as of the effective date of the appraisal report. The principle states that a buyer will not pay more for a property than its competition in the neighborhood. In other words: if a property that is identical to the property being appraised is available for \$200,000 then a buyer will not pay more than \$200,000 for the property being appraised. Under steady market conditions, actively listed properties similar to the property being appraised limit the most that property can sell or be appraised for, but not the least it could sell for because there is no limit as to how high a property can be listed for sale. Exceptions are distressed sellers and buyers, and rapidly appreciating housing markets – and when some sellers intentionally list properties for under-market values to generate interest and competing bids for a property.

Condition and Quality Guidelines

Quality describes the degree of worth and the character of the workmanship and materials used, in both the structure and its features such as countertops and flooring. Condition describes the degree of defects or physical deterioration present, also in both the structure and its features. I rate the quality and condition of the subject property and the comparable properties according to the six-tier condition and quality guidelines set out below.

Because the subject property and the comparable properties do not have uniform quality or condition throughout, and because meaningful differences between similar properties are often finer than a single tier, quality and condition are sometimes described on a relative basis - that is, as relative references between the properties in the analysis - to accurately illustrate the differences in their quality and condition. In those cases the ratings may reflect relative differences between the properties, and/or differences in the quality and condition of individual features, rather than differences in the base structure alone.

Quality Guidelines:

Excellent (Q1) - Typically unique, architect-designed structures built for a specific user. They feature exceptionally high-level workmanship, custom architectural elements, and top-tier imported or custom materials throughout the interior and exterior.

Very Good (Q2) - Custom-designed homes featuring high-quality finishes and craftsmanship. While they utilize high-end materials, these are typically commercially available products rather than the one-of-a-kind materials found in Excellent (Q1) homes.

Good (Q3) - Good quality construction featuring upgraded finishes, such as semi-custom kitchens, and above-standard materials. The distinction from Very Good (Q2) is that Good (Q3) selectively uses upgraded materials rather than using high-end materials consistently throughout.

Average+Good (Q4) - Standard quality construction that meets or exceeds building codes. It uses mass-produced, off-the-shelf materials with standard interior refinements, such as flat ceilings and standard floor coverings, and minimal exterior architectural enhancements. Most tract and production housing falls in this tier, including standard homes that have been attractively renovated with off-the-shelf materials.

Average (Q5) - Economy-grade materials with minimal ornamentation and basic finishes, below standard or builder-grade construction.

Fair (Q6) - Substandard construction of basic quality and lower cost, often built with simple or no plans by unskilled laborers. It may utilize the lowest quality materials, have minimal or non-existent mechanical systems, and may not be suitable for year-round occupancy.

Condition Guidelines:

Excellent (C1) - The property is new or nearly new, with no signs of wear and tear or deferred maintenance. All components are in perfect condition.

Very Good (C2) - The property has been recently updated or renovated to a state resembling new construction, requiring no major repairs.

Good (C3) - The property shows minimal physical depreciation from normal use. While some components may have been updated, it has not undergone a complete renovation.

Average (C4) - The property is in generally decent condition but requires minor cosmetic or functional repairs. It shows normal wear and tear, but major systems are adequately maintained.

Fair (C5) - The property requires significant repairs, and its livability may be impacted due to deferred maintenance.

Poor (C6) - The property suffers from severe structural or safety issues that require substantial repairs. If any portion of a dwelling meets this definition, affecting safety or structural integrity, the entire property must be rated Poor.